

Return	Years to 100-bagger
14.0%	35 years
16.6%	30 years
20.0%	25 years
26.0%	20 years
36.0%	15 years

You'll note these are very long holding periods — especially in an age where the average holding period for stocks is measured in months — but that's the point. The greatest fortunes come from gritting your teeth and holding on.

You'll also see it's a fairly high hurdle to get to 100-bagger status.

You need high growth for a long time. For example, Tractor Supply grew earnings at a rate of 23 percent per year and became a 100-bagger after just over 12 years. Later, we'll look at Monster Beverage, a stock that became a 100-bagger in just 10 years — a remarkable feat that required a 50 percent annual growth rate.

Phelps advises looking for new methods, new materials and new products — things that improve life, that solve problems and allow us to do things better, faster and cheaper. There is also an admirable ethical streak to Mr. Phelps's style, as he emphasized investing in companies that do something good for mankind. This requires looking beyond past figures.

"There is a Wall Street saying that a situation is better than a statistic," Phelps said. Relying only on published growth trends, profit margins and price-earnings ratios is not as important as understanding how a company could create value in the years ahead.

Phelps is quick to add he is not advocating blindly holding onto stocks.

"My advice to buy right and hold on is intended to counter unproductive activity," he said, "not to recommend putting them away and forgetting them."

And so what if you don't get a hundredfold return? The point of Phelps's brilliant teaching method is to focus your attention on the power of compounding, to forget the day-to-day ripples of stock prices. After all, even if you catch part of a 100-bagger, the returns could fund a retirement.